



**West Bengal State Electricity
Distribution Co. Ltd.**

(A Govt. of West Bengal Enterprise)

**Vidyut Bhawan, Bidhannagar,
Kolkata – 700 091**

Circular No: 6/2011

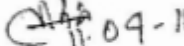
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Of late, it has been observed that in several cases, the Internal Audit Teams(both In-house & Outsourced) which visited the Auditee units for performing Internal Audit had to face many challenges to accomplish their Internal Audit Activity. The reasons as could be ascertained are either ignorance or a lack of appreciation on the part of the Auditee. The challenges are:-

- Non-availability of records/documents
- Delay in submission of records/documents to the Audit Teams
- Inadequate briefing in opening meeting between the Auditee and Internal Auditors
- Interactive discussion lacking in closing meeting between the Auditee and Internal Auditors
- Lack of adequate participation by the process owner.
- Non-submission of compliance report with reference to previous audit findings to the Internal Auditors
- Non-availability of information and data from DCC in a timely manner
- Non-submission/furnishing of Management responses against the Audit Query/observations to the Auditors in course of Audit

It may please be noted that Internal Audit is, in fact, an Internal Control Process which facilitates achievement of the objectives and goals of the organisation as set forth by the management. Accordingly to achieve the basic objectives of Internal Auditing the compliances with the following broad level guidelines by the Auditee is a must. Thus during the course of Internal Auditing at the respective Units the Auditee should adhere to the following broad level guideline:-

- The Internal Auditors will have access to all documents and information of the Company as may be reasonably required by them for the discharge of its responsibilities
- The Data request forms(DRF) will be issued by the Internal Audit department alongwith the Audit communication letter to the Auditee well in advance and the Auditee must keep the documents ready as will be mentioned in the DRF prior to the visit of the Internal Auditors.
- To provide relevant policies and procedures, and other information that will be of assistance during the fieldwork.
- Meet with the audit team as necessary and provide requested documentation.
- Review audit issues and recommendations for completeness and accuracy, Provide formal management response and action plan.
- The management responses against the Audit observations/recommendations are to be submitted after verification of the facts/figures/records and books of Accounts to the Internal Auditors during the course of Audit or at the closing Meeting positively. The response should also include the identification of the process owner for implementation of the Audit observations/recommendations and the timeframe within which such observations/recommendations will be implemented.
- Internal Audit Department will then issue a formal audit report which is issued to inform the Auditee management of the identified issues and control weaknesses, and assist management move towards improvement in areas of concern. Audit reports include risk issue levels and final audit opinion. The replies against that Final Audit report should be submitted by the Auditee within thirty(30) days from the date of issuance of such formal Audit report. The replies should be submitted in both hard and soft copies. The soft copy of the replies may be sent through e-mail at ciadcl@rediffmail.com


 (D. Goswami)
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